

ECONOMY

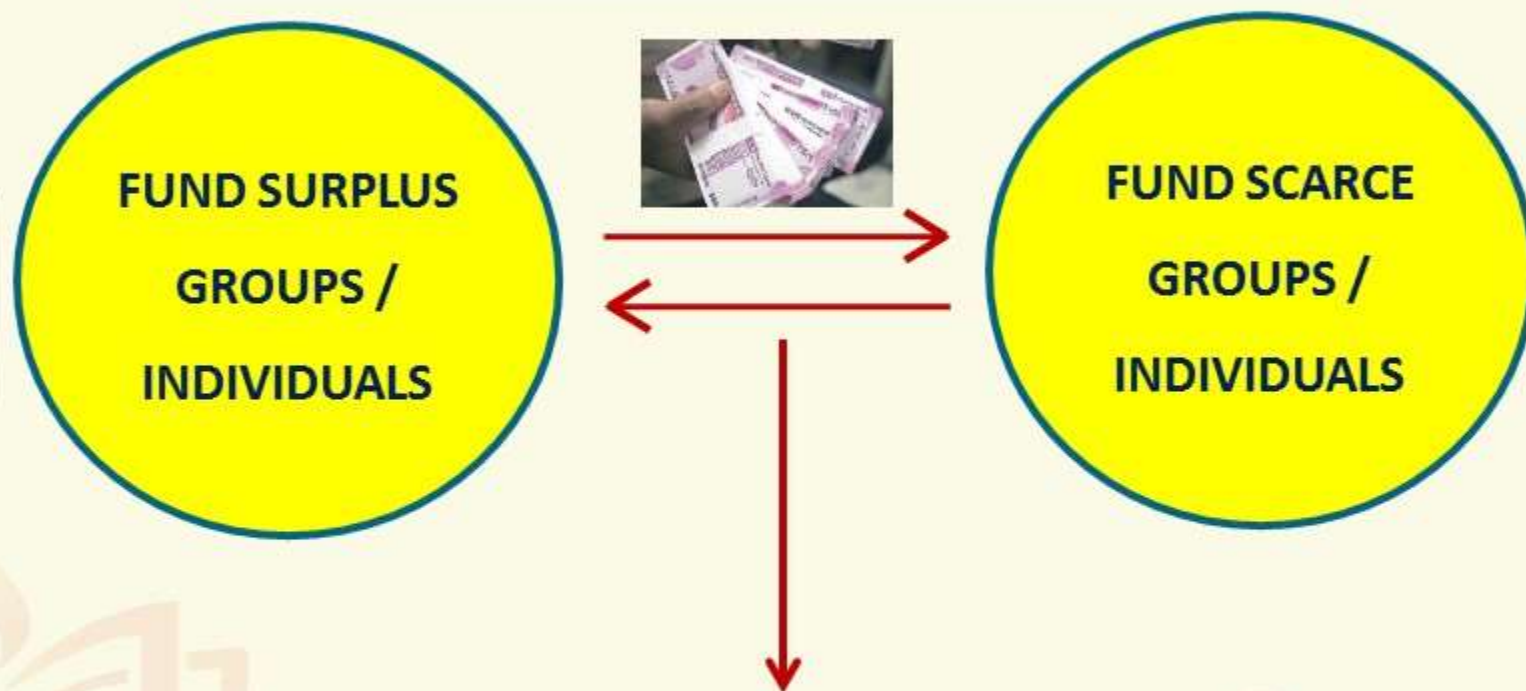
LECTURES



FINANCIAL MARKET

MODULE - 19

WHAT IS A FINANCIAL MARKET?



- Exchange of money / money value instruments
- With interest / dividend

FINANCIAL MARKET

The market of an economy, where funds are transacted between the **Fund Surplus** and **Fund Scarce** individuals and groups is known as **FINANCIAL MARKET**

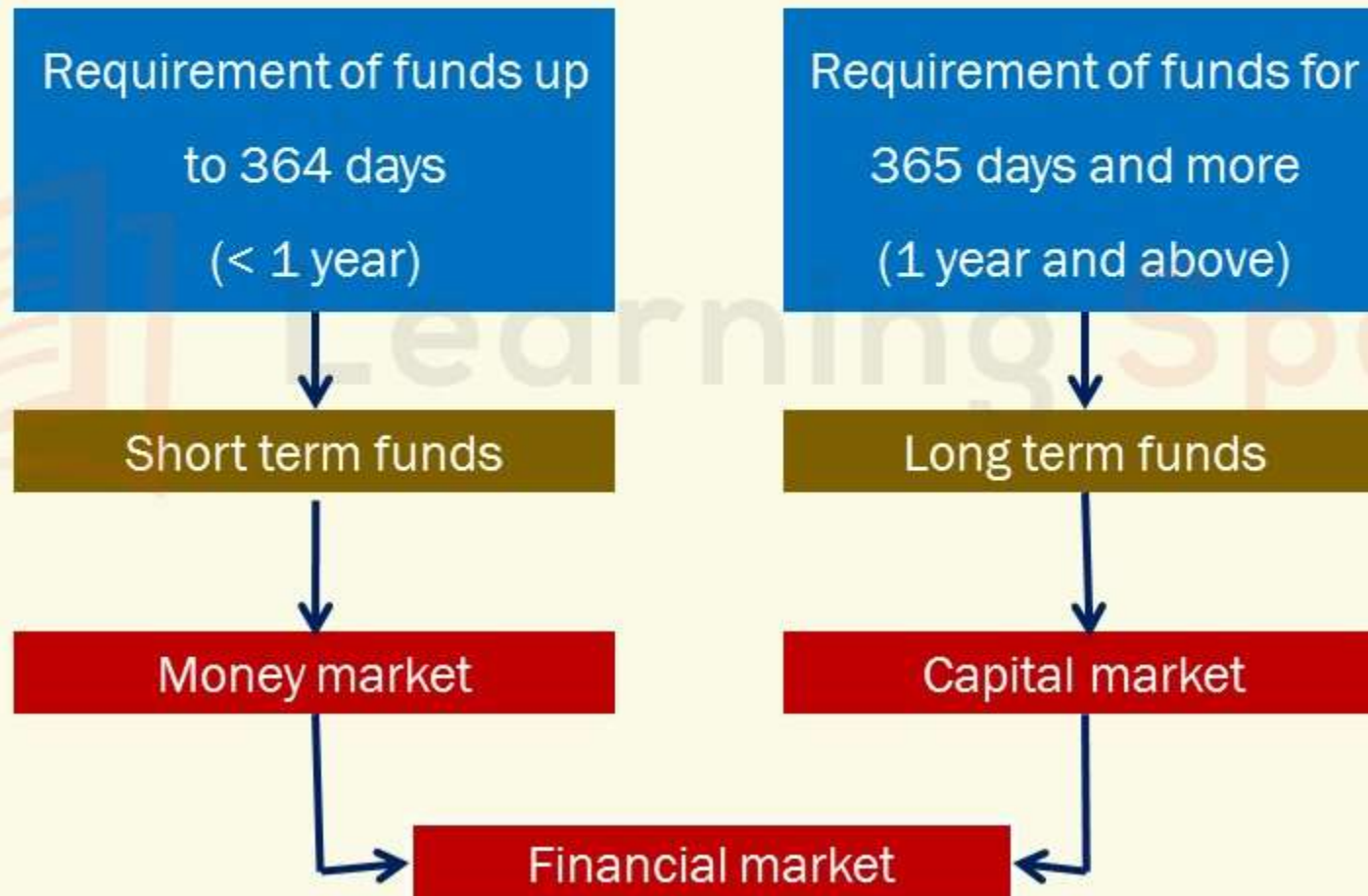

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BUT, WHAT ABOUT DURATION ?

GENERAL CLASSIFICATION



MONEY MARKET AND CAPITAL MARKET

I. MONEY MARKET

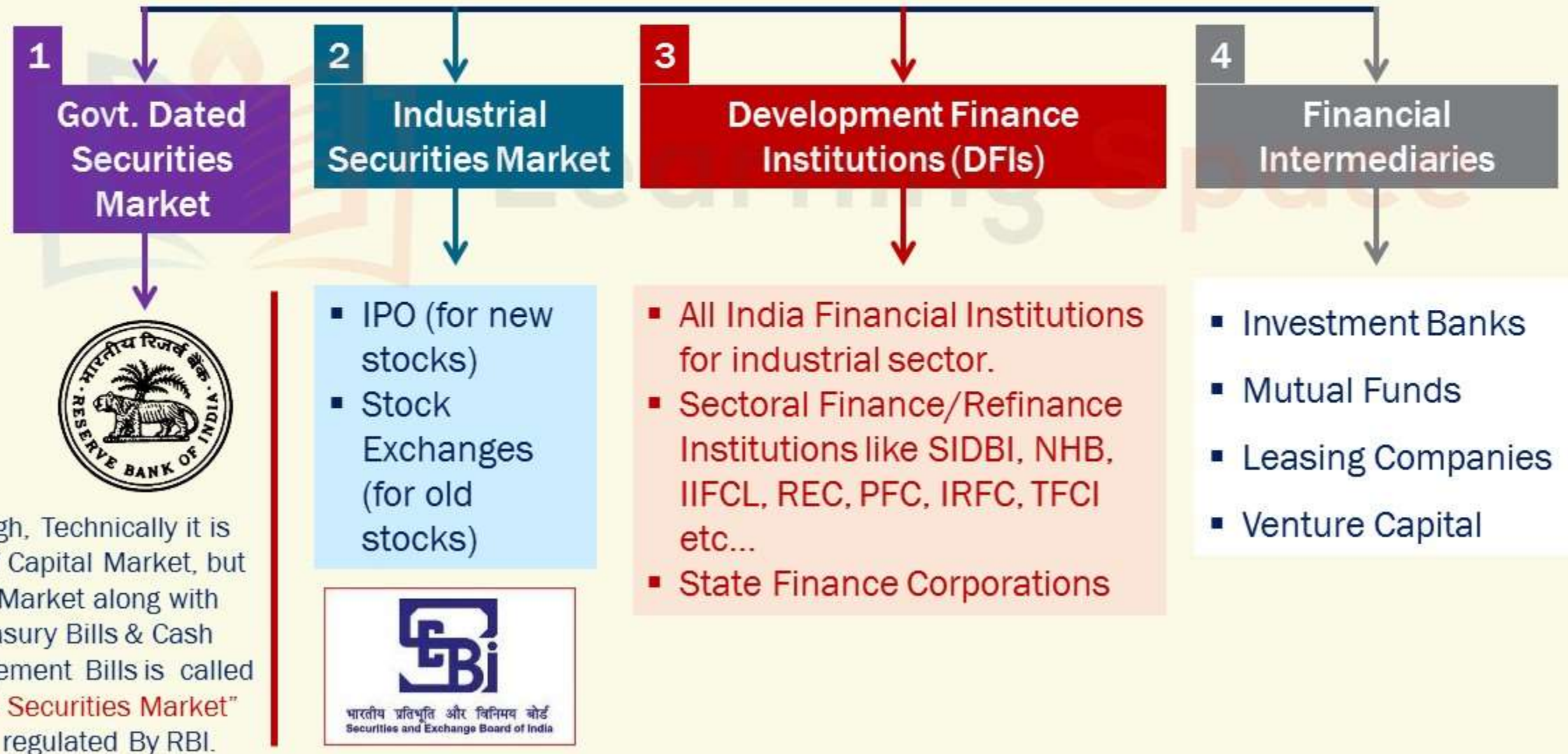
I. MONEY MARKET

- Treasury Bills
- Cash Management Bills
- Repo and Reverse Repos
- Certificate of Deposits
- Commercial Papers
- Call Money Market



Money market takes care of the *financial mismatch of day to day operations of organizations*, where as *capital market is used for creation of assets.*

II. CAPITAL MARKET





I. MONEY MARKET

SALIENT POINTS

- Here money is traded between **individuals or groups** (Financial Institutions, Banks or Companies).
- For short term lending **normally up to 1 year**.
- Instruments which are traded can facilitate **quick conversion to money**.
- The interest rate depends on **demand and supply of cash**.
- Vibrant money market is **essential** for any economy and **co-exists with capital market**.
- Organised money market in India is **just more than 2 decades old**.



Creating tomorrow today





I. MONEY MARKET

1. Treasury Bills (TBs)
2. Cash Management Bills (CMBs)
3. Repo and Reverse Repos
4. Certificates of Deposits (CDs)
5. Commercial Paper (CP)
6. Call Money Market

Let us discuss in brief...



I. MONEY MARKET

1. TREASURY BILLS

- ✓ They are available in various forms since independence.
- ✓ Got organized from 1986.
- ✓ Issued by **RBI on behalf of Central Government**.
- ✓ Used by the Central Government to **fulfill short-term liquidity requirements up to 364 days**.
- ✓ In addition to Governments, they also function **as short term investment avenues for Banks and Financial Institutions**.
- ✓ Eligible as security for SLR.



सत्यमेव जयते





I. MONEY MARKET

2. CASH MANAGEMENT BILLS

- ✓ They are also discounted instruments like Treasury Bills, issued by RBI on behalf of Central Govt.
- ✓ They are for maturities less than 91 days.
- ✓ They were introduced in 2010 by RBI for short term liquidity
- ✓ Most of the features are similar to Treasury Bills.



3. REPO AND REVERSE REPOS

- ✓ These were introduced by RBI in December 1992 and November 1996 respectively.

We have already discussed about them in previous lectures





I. MONEY MARKET

4. CALL MONEY MARKET

- ✓ It is **short term financial market**.
- ✓ Transactions take place on **overnight basis**.
- ✓ Funds are transacted **for a period between 1 to 14 days normally**.
- ✓ All the Scheduled **Commercial Banks, Co-operative Banks and Primary Dealers (PDs)** participate in the auction.
(Regional Rural Banks are not eligible to participate.)
- ✓ Interest rates are **market driven**.



SBI DFHI Ltd.



इंडियन बैंक
Indian Bank



बैंक ऑफ बड़ौदा
Bank of Baroda



I. MONEY MARKET

5. COMMERCIAL PAPER

- ✓ Introduced in India in 1990.
- ✓ It is a **privately placed Instrument**.
- ✓ It is **unsecured money market** instrument issued in the form of a **promissory note**.
- ✓ Companies, Primary Dealers, Financial Institutions are **permitted to issue Commercial Paper**.
- ✓ Net worth of the company should not **be less than Rs.4 crore with high credit rating**.
- ✓ Duration is from 7 days to 1 year.





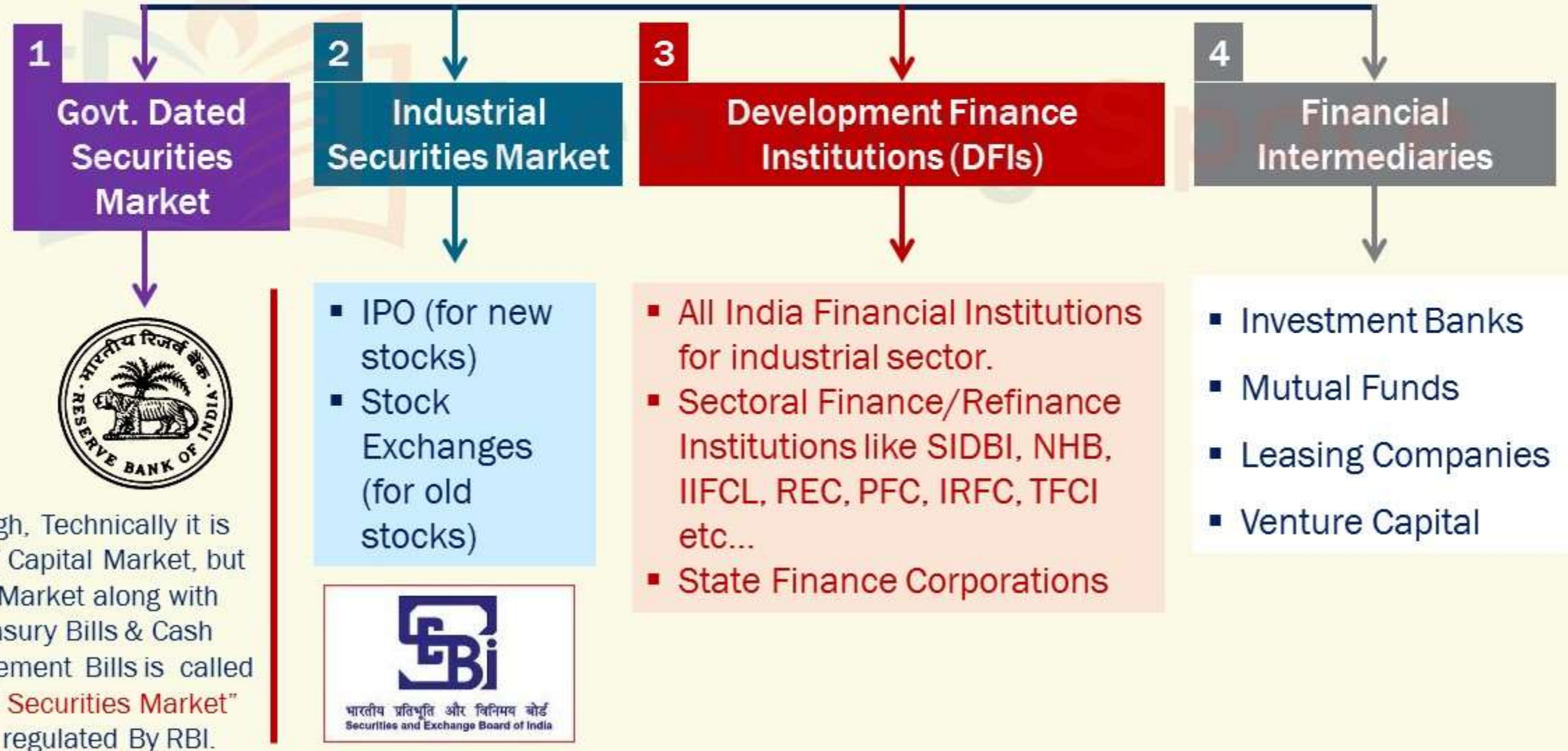
I. MONEY MARKET

6. CERTIFICATE OF DEPOSIT

- ✓ Introduced in 1989.
- ✓ Can be issued by Scheduled Commercial Banks or FIs (as authorized by RBI).
- ✓ Minimum amount Rs.1 Lakh (further in multiples of Rs. 1 Lakh).
- ✓ Time period... 7 days to 1 year (If issued by Commercial Banks)
1 year to 3 years (If issued by FIs)



II. CAPITAL MARKET





G-SECs (GOVERNMENT SECURITIES)



DATED
SECURITIES

1 Year to
40 years

State Govts can also issue Govt. Securities up to a maximum period of 10 years. But they are known as State Development Loans (SDLs). They are also managed by RBI

CAPITAL MARKET



TREASURY
BILLS

Up to
364 days

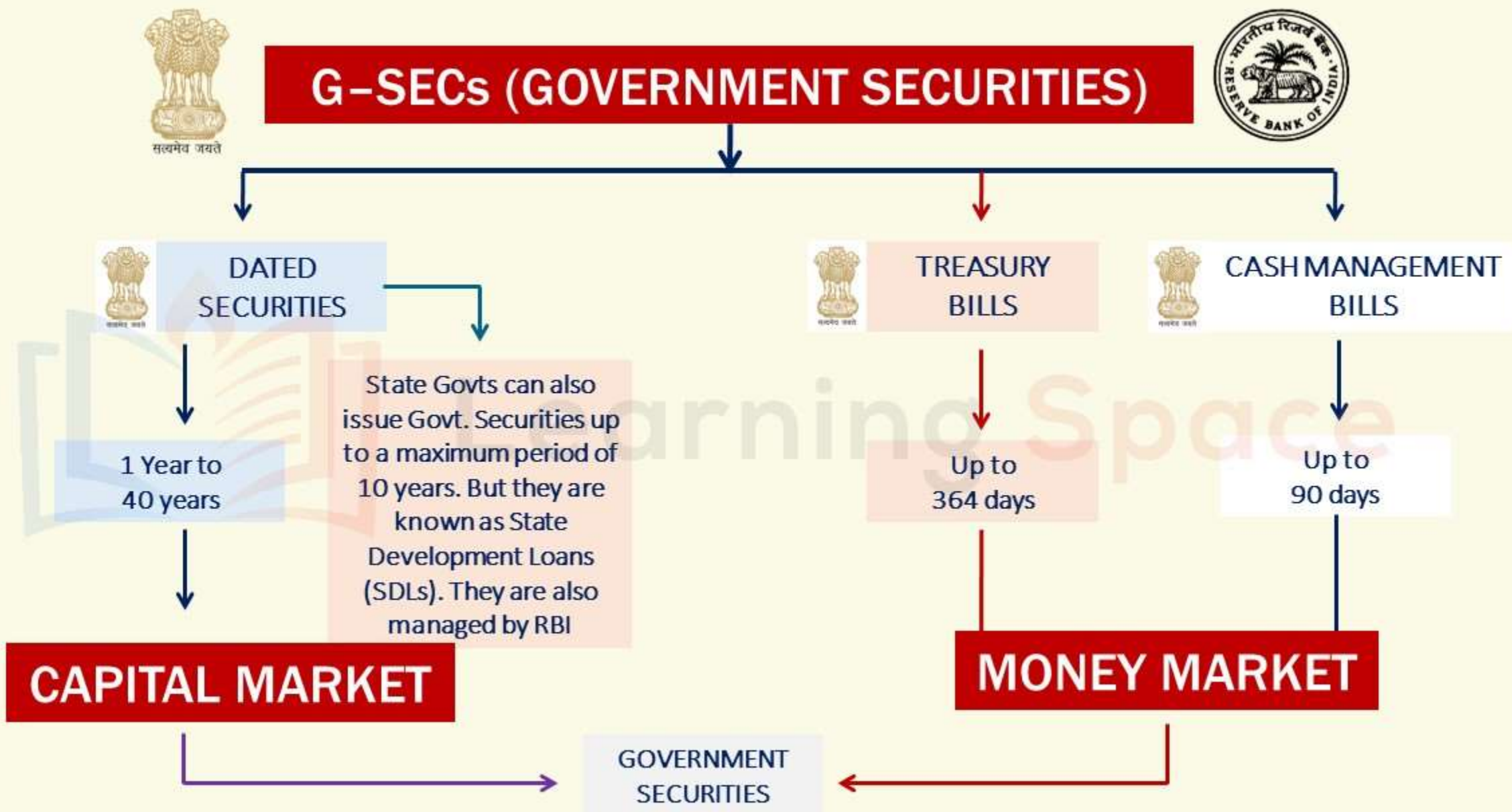


CASH MANAGEMENT
BILLS

Up to
90 days

MONEY MARKET

GOVERNMENT
SECURITIES





1

II. CAPITAL MARKET

GOVERNMENT DATED SECURITIES



- If the security is **more than 1 year**, it is called **Dated Security**.
- All the securities are **managed by RBI only**.
- Auction held electronically on **PDO-NDS platform** (Public Debt Office – Negotiated Dealing System).
- They can also be purchased through **primary dealers in secondary market**.
- Minimum subscription for Dated Security is **Rs.10,000** (for T-bill, it is Rs.25,000)
- Normally SCBs, FIs participate in **auction of G-Secs**.
- If the State Governments borrow money, they are known as **State Development Loans (SDLs)** and RBI also **manages them**. These are also eligible for SLR.

2. INDUSTRIAL SECURITIES MARKET

- This is one of the segments of the financial market.
- Long term capital is raised.
- Instruments used are shares, bonds, debentures etc.
- Securities regulator (SEBI), stock exchanges, different share indices like SENSEX, NIFTY are associated with this.
- A company becomes Public Limited from Private Limited by issue of shares to public.
- Shares are issued through IPO (Initial Public Offering).



- Headquarters is in Mumbai
- Established in 1988.

The logo for the National Stock Exchange (NSE) of India. It consists of a red circular emblem with a stylized white 'N' and 'S' inside, followed by the letters 'NSE' in a large, bold, red sans-serif font.The logo for the Bombay Stock Exchange (BSE) of India. It features the letters 'BSE' in a large, blue, stylized sans-serif font. Below the letters, the tagline 'EXPERIENCE THE NEW' is written in a smaller, blue, sans-serif font.


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2. INDUSTRIAL SECURITIES MARKET

- An individual can purchase shares through IPO or through Stock Exchanges.
- Hence, it can be divided into Primary Market (issue of shares through IPOs) and Secondary Market (trading of shares).



2. INDUSTRIAL SECURITIES MARKET

STOCK EXCHANGES

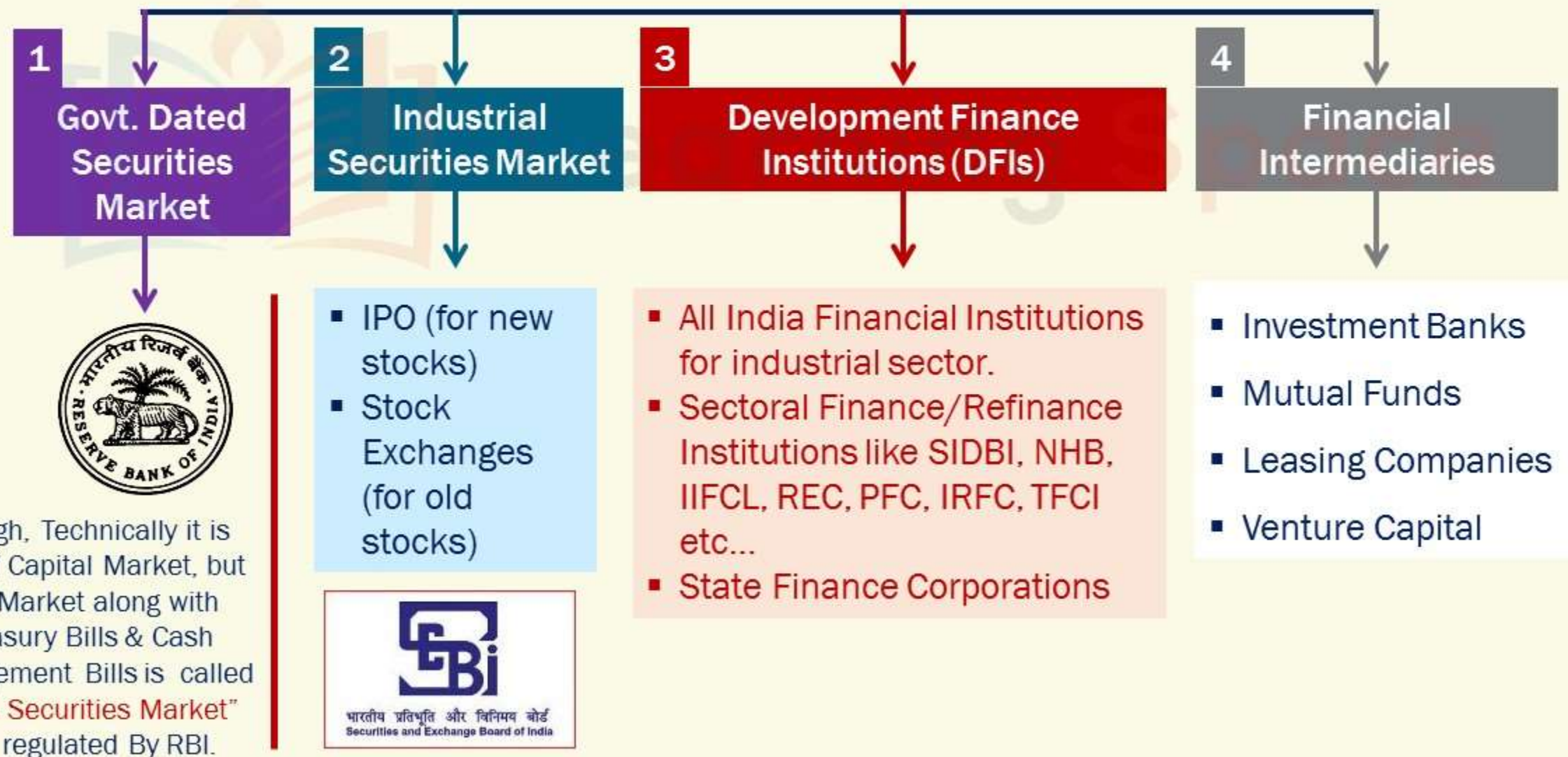


- It is **Bombay Stock Exchange Ltd.**
- Initial name was “the Native Share and Stock Brokers’ Association” (1875).
- **Asia’s first Stock Exchange.**
- **SENSEX (Sensitive Index)** is the **30 Stock Index** of **BSE** and is widely regarded as the benchmark.
- Base year 1978-79 and Index is 100 as on 1st April, 1979.

- It is **National Stock Exchange of India Ltd.**
- Established in 1992.
- Sponsors are DFIs including IDBI, LIC, GIC etc.
- **CNX-NIFTY** is the Index of the **50 top shares** from **22 sectors**.
- Base year 1995, Base Index 1,000.
- **EMERGE** is the **SME platform** of **NSE**.
- **CNX-NIFTY** was developed by **Ajay Shah** and **Susan Thomas**.

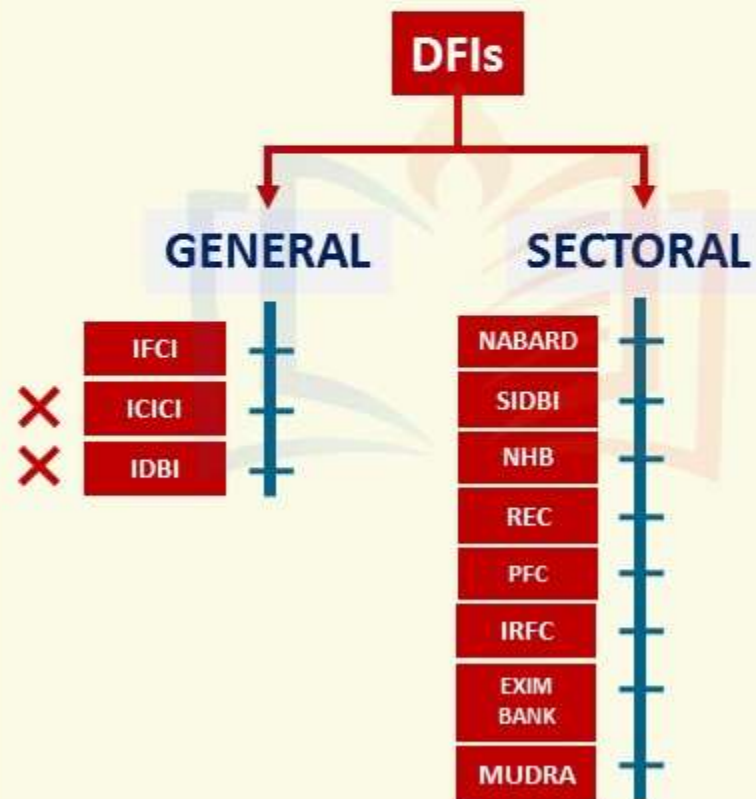


II. CAPITAL MARKET



II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)

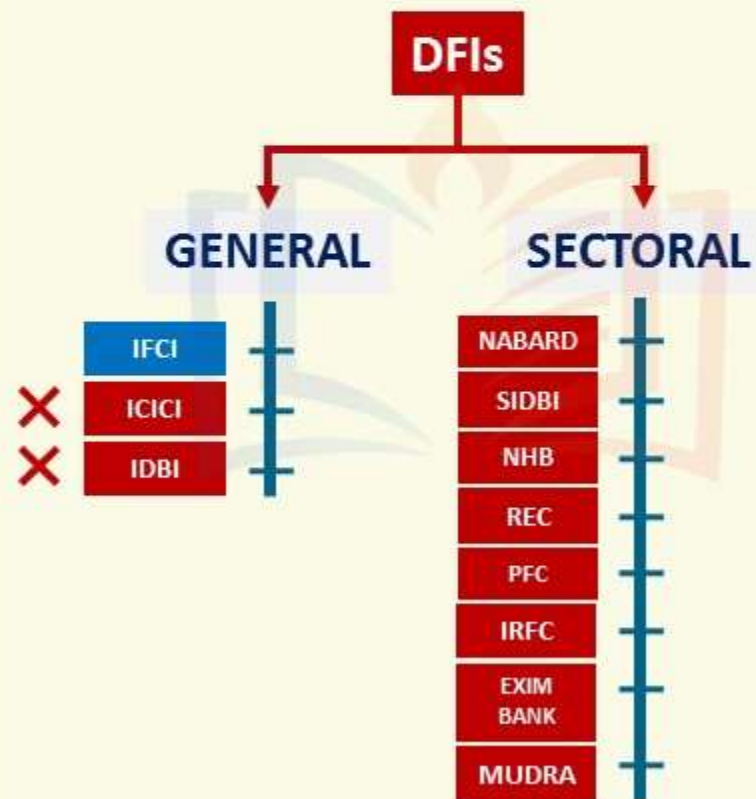


- ✓ Primarily intended to fulfill capital requirements of Industry/ Infrastructure.
- ✓ In other words, to take care of “Project Finance”.
- ✓ After independence, banks were not in a position to lend for industry/ long term projects due to lesser deposits.
- ✓ However, after economic reforms of 1991, Industries have got other sources of tapping funds at cheaper rates and also the base of funds for commercial banks increased rapidly.

DFIs include Finance Firms, Refinance Firms and Firms for Technology Transfer also.

II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)



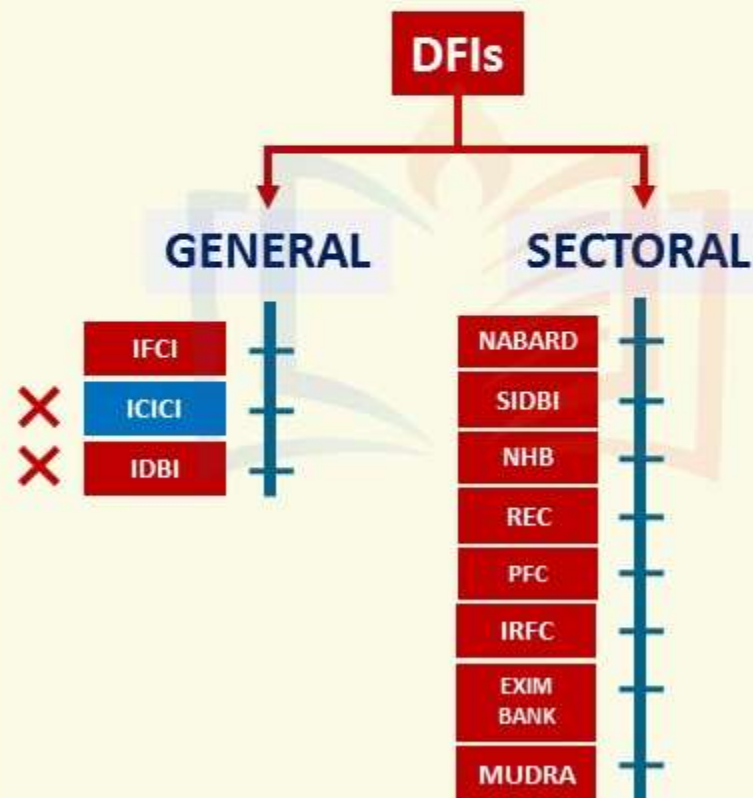
IFCI

- ✓ It is Industrial Finance Corporation of India.
- ✓ Headquarters is in **New Delhi**.
- ✓ It is the first **DFI** established by **GOI**.
- ✓ Started on **1st July, 1948**.
- ✓ Got access to **low-cost funds** of **RBI**.
- ✓ Name changed to IFCI Ltd in Oct, 1999.
- ✓ Primarily to cater for industrial finance.
- ✓ Now, it lost its relevance.



II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)



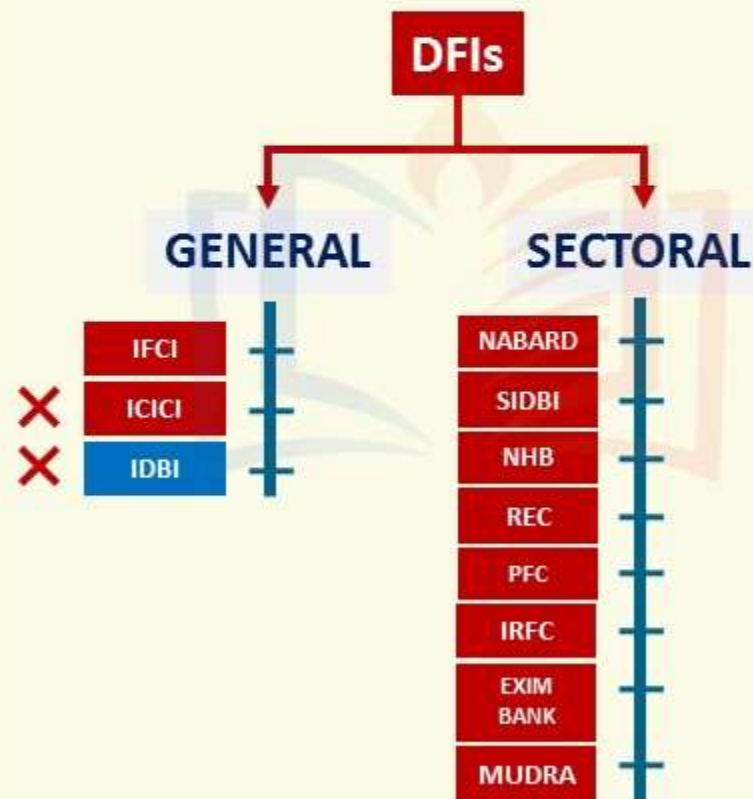
ICICI

- ✓ It is **Industrial Credit and Investment Corporation of India**.
- ✓ Started its operations in **1955**.
- ✓ It was in the **private sector**.
- ✓ Out of all the DFIs, it **achieved spectacular success**.
- ✓ It established **ICICI Bank** in **1994**.
- ✓ Subsequently, **ICICI Limited** merged with **ICICI Bank** in **2002** to facilitate "**Universal Banking**" as recommended by Khan Committee.
- ✓ At present, it is the **largest private sector bank in India**.
- ✓ Hence ICICI is no more in existence as DFI.



II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)



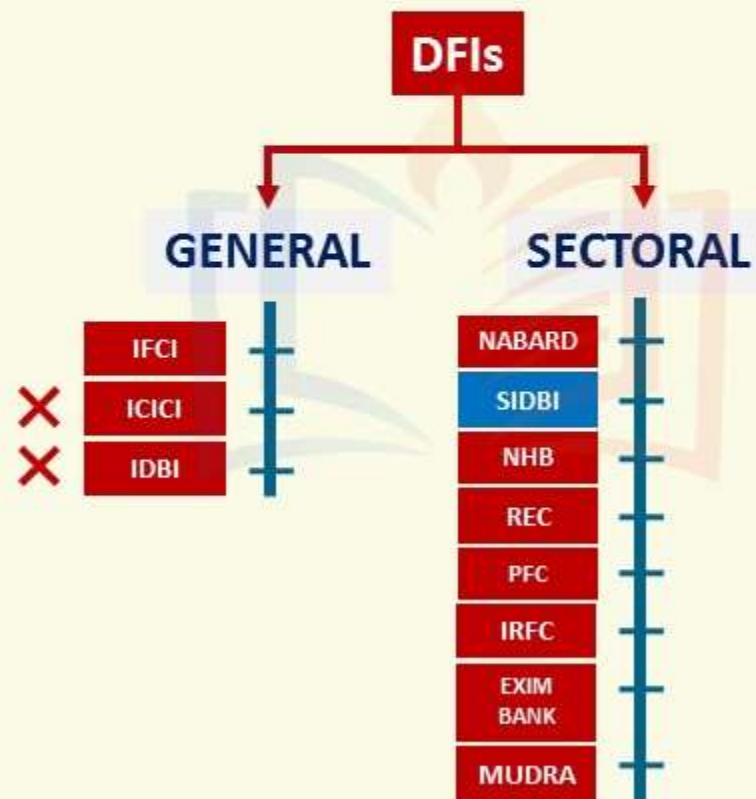
IDBI

- ✓ Established as DFI under IDBI Act on 1st July, 1964.
- ✓ Started as a wholly owned subsidiary of RBI, but the ownership was transferred to GOI.
- ✓ Headquarters is in Mumbai.
- ✓ It is Government owned institution.
- ✓ For 40 years, it served as a premier Project Finance Organization.
- ✓ IDBI was changed to IDBI Ltd and with effect from Oct 1, 2004, it has been functioning as a Bank.
- ✓ IDBI Ltd became IDBI Bank Ltd in 2008. Now it is another 'Universal Bank' and IDBI as a Financial Institution no more exists.



II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)

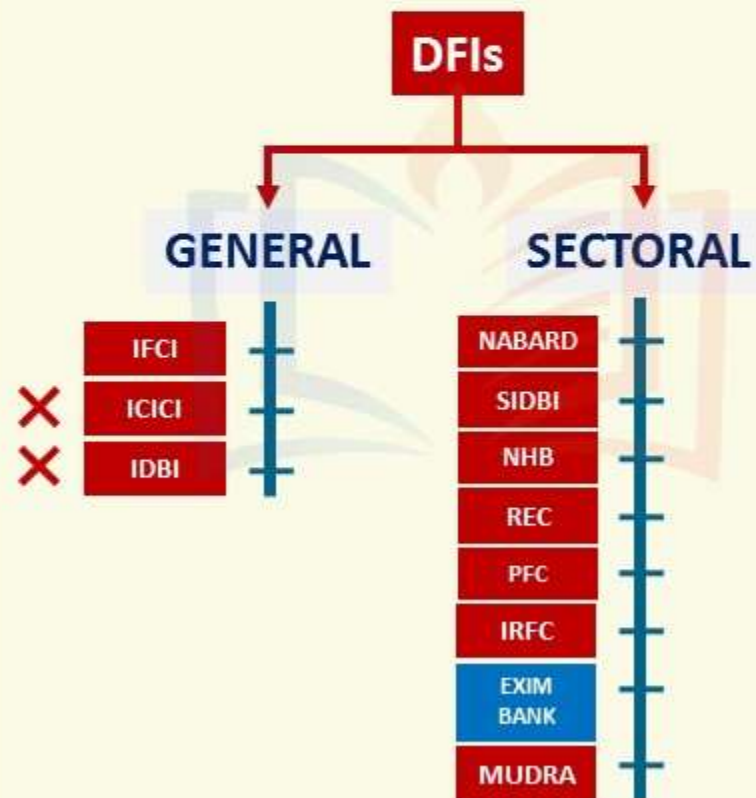


SIDBI

- ✓ It is Small Industries Development Bank of India.
- ✓ Established in 1990 as a fully owned subsidiary of IDBI, but the present shareholding is diversified.
- ✓ Headquarters in Lucknow.
- ✓ It is the principal financial institution for Promotion, Financing, Development of MSME Sector.

II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)



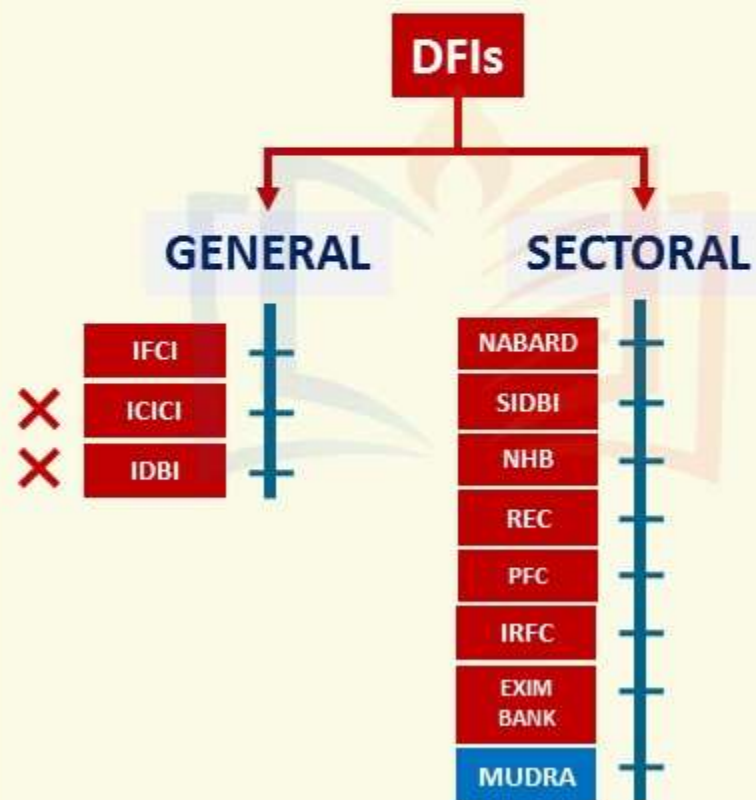
EXIM BANK

- ✓ It is Export-Import Bank of India.
- ✓ Established in 1982 under the Export-Import Bank of India Act 1981 by GOI.
- ✓ Headquarters is in Mumbai.
- ✓ Set up for the purpose of Financing, Facilitating, Promoting Foreign Trade of India.



II. CAPITAL MARKET

3. DEVELOPMENT FINANCE INSTITUTIONS (DFIs)



MUDRA BANK

- ✓ It is Micro Units Development & Refinance Agency (MUDRA) Bank.
- ✓ This will be responsible for developing and refinancing of Micro Units Enterprises.
- ✓ The bank will partner with various Commercial Banks / MFIs / FIs to Finance Micro Enterprises.
- ✓ It is refinance agency.
- ✓ At present it is NBFC and is the subsidiary of SIDBI.

II. CAPITAL MARKET

4. FINANCIAL INTERMEDIARIES

INVESTMENT BANKS

Main functions are

- ✓ Debt and Equity **underwriting** of corporates.
- ✓ Banking services to **Companies, Financial Institutions.**
- ✓ Strategic advice w.r.t. M & As.
- ✓ Portfolio Management of HNIs.

Top Investment Banks in India



Top 10 Investment Banks in the World

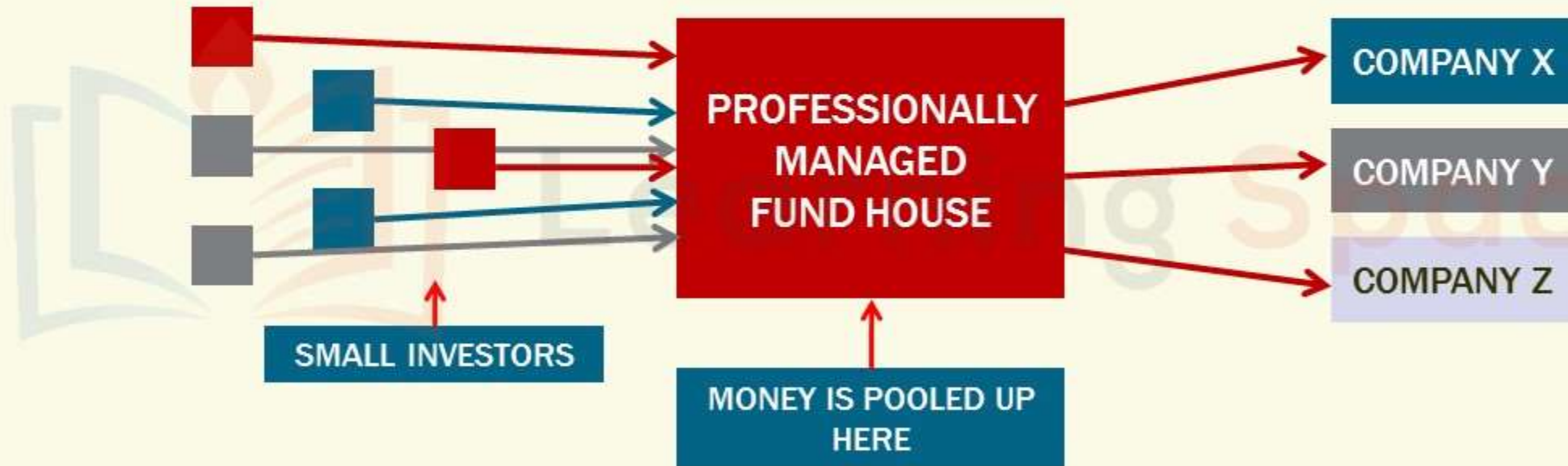


II. CAPITAL MARKET

4. FINANCIAL INTERMEDIARIES

MUTUAL FUNDS

What is meant by Mutual Fund?



MUTUAL FUND

An investment vehicle made up of a pool of funds collected from many investors for investing in Shares, Bonds, Money Market Instruments etc.

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